





Mortgage Rates Reach 7% in the USA



Looking at the headline and photo of this story, we have a good idea of what the article is about. Give a brief explanation of what you expect to read about.

Before we read: Vocabulary focus



Match the words with their meaning

Mortgage

A psychological barrier or block

Mental hurdle

A significant moment

Landmark

General increase in price over time

Peak

Give something a push to make it move again

Inflation

Something unusual that has now become expected

Fixed rate

A loan to buy a house

Kick start

The interest stays the same for the total duration

Standard / New Norm

The highest point



Before we read: Vocabulary focus

Check your answers



Mortgage

A loan to buy a house

Mental hurdle

A psychological barrier or block

Landmark

The highest point

Peak

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Standard / New Norm

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It's time to read the news!



While we read, you will notice the words from the vocabulary focus. Make a note of any other **words** or **expressions** that you don't understand.



Mortgage Rates Reach 7% in the USA

24th September 2026



Mortgage rates reached a major [landmark](#) this week, rising above 7% for the first time since early 2025. According to official data, the average 30-year fixed rate went up to 7.03%. This is the fifth week in a row that rates have increased, making it even harder for people to buy a home.

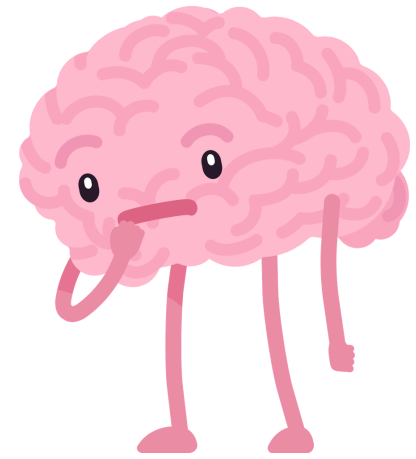
Experts warn that going above 7% acts as a [mental hurdle](#) that could slow down property sales this autumn. Although rates are still lower than their [peak](#) of 7.79% in 2023, recent hopes for a market recovery have quickly disappeared.

A few months ago, rates briefly dropped below 6%, making people hopeful that cheaper loans would [kick-start](#) buying and selling again. However, rising oil prices caused by conflict in Iran have pushed [inflation](#) up, driving borrowing costs back higher.

The extra cost for buyers is huge. Anyone getting a [mortgage](#) today on an average home will pay thousands of dollars more over 30 years compared to someone who bought in February. Because of this, experts believe that 7% is now the [standard](#) rate buyers should expect.



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What do you remember from the article?

1. How many consecutive weeks have interest rates increased?
2. In which season might house sales go down?
3. Which conflict has caused the cost of oil to go up?
4. What is the standard mortgage rate that buyers should now expect?

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Check your answers

1. How many consecutive weeks have interest rates increased?

5 weeks in a row

2. In which season might house sales go down?

They could slow down in autumn

3. Which conflict has caused the cost of oil to go up?

The conflict in Iran

4. What is the standard mortgage rate that buyers should now expect?

7% is the rate buyers should now expect



Discuss the topic of the article

Question 1 / 4

Is it more common for people in your country to **buy** or **rent** houses?





Discuss the topic of the article

Question 2 / 4

Has it become more difficult for young people to get on the **property ladder**?





Discuss the topic of the article

Question 3 / 4

Is the house-buying process **complicated** or **straightforward** in your country?





Discuss the topic of the article

Question 4 / 4

What can the government do to improve the situation of **rising house prices**?





Do you agree or disagree?



The high rent prices
mean that it's almost
impossible for people to
save up to buy a house



Hot take! What do you think?

These days, the prospect of being in the same place for 30 years is a mental hurdle for young people





What's your take on this?



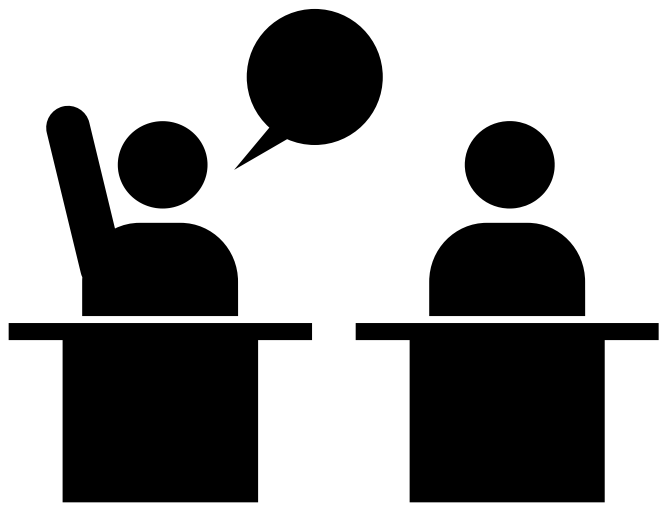
If inflation continues to increase more than salaries, regular families won't be able to afford luxuries in the near future



Is she right?!

The current generation
of young people will be
living with their parents
until they are in their 40s





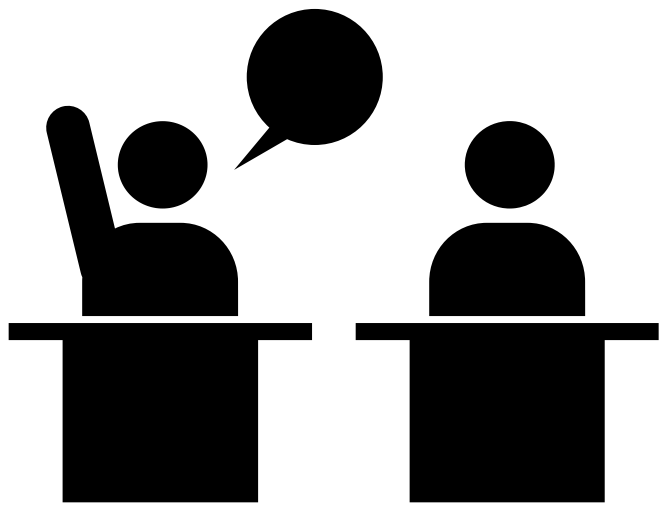
Final Task

To finish this lesson, we are going to have some debates.
Choose a side of the argument and defend it. There are
some useful debate phrases to help you.

Tip: Whilst debating, use
the ideas which we have
seen and discussed in
this class

Useful phrases

- I see your point. However...
- I'm afraid I disagree...
- I agree to an extent, but...
- I completely disagree...



Final Task

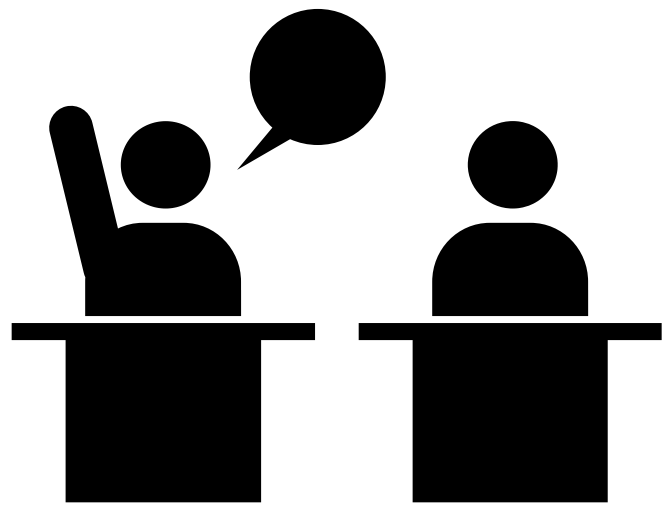
Choose your side, and defend it in the debate

Topic 1 of 2

It is a much better idea
to rent a house or flat
than to buy one

Useful phrases

- I see your point. However...
- I'm afraid I disagree...
- I agree to an extent, but...
- I completely disagree...



Final Task

Choose your side, and defend it in the debate

Topic 2 of 2

The price of houses is the main reason why people are buying fewer properties

Useful phrases

- I see your point. However...
- I'm afraid I disagree...
- I agree to an extent, but...
- I completely disagree...



End of lesson review

In this lesson I have

- ✓ Learnt new finance and housing vocabulary
- ✓ Read and understood an article about interest rates
- ✓ Discussed and debated the housing market
- ✓ Used expressions for debating